Human Resource Management Practices at Askari Bank Limited

Human Resource Management

Askari Bank's Human Resource has four Main Sections.

1- **Recruitment and Selection**
2- **HR Operations**
3- **HR Planning & Development Division**
4- **Performance Management**

Administration and Development are the core responsibilities that come under the Human Resource Department these set of rules are applicable on each unit in the bank.

Major Areas that require HR Policies are as follows.

1- Recruitment and selection
2- Compensation and benefits
3- Performance Management and career Progression
4- Training and Development
5- End of Service

Basic Function of HR Department is to motivate, enhance and satisfy the employees the HR also work for the improvement of deficiencies.

Recruitment and Selection

Recruitment Criteria

The recruitment at Askari bank is divided into four categories. Details are as under.

Experienced bankers

In order to run a successful organization, the bank has to rely on the induction of experienced manpower from the market .The employees are selected from the resources such as advertisements or are selected through request or direct approaches.

Management trainees

This is a step which requires the induction of fresh and qualified graduates into the organization. This induction phase is carried out on regular basis with an aim to establish contacts on the outside .As young blood brings in new ideas and innovation to the organization.

i. Management at the Askari bank have been quick to develop a scheme by the name of “Management trainee officers” which is required to recruit, train and groom prospect bankers.
ii. Trainees are selected through a rigorous screening process; the applicants are required to be holding a degree in Business Administration, Commerce or Economic with at least a 1st division or a minimum of grade “B” from reputable or private universities.
iii. Candidates are required not to exceed the age limit of 26 years, when apply for the job at Askari bank, in some exceptional cases the candidates with an age of 28 years may be allowed.
iv. The candidates will go under comprehensive training for a period of two months at the banks head office (training and research wing).
v. After successful one year on the job training the candidate will be rated with suitable performance rating grades (of either A or B).
vi. The MTO if fails to achieve the goals or criteria shall be allowed to continue in officer grade or may be asked to leave the bank.

Banking Officers/Cash Officers

The recruiting of graduates and postgraduates are a necessary in one of these departments, with preferable 1st or 2nd division from one of the HEC recognized institutes. The job related responsibilities for the officers may include day to day consumer banking activities ,such as account opening ,remittance ,collections ,clearings, handling cash ,government securities and locker’s .This position includes a 4 week intense training designed to teach officers how to manage the above mentioned areas of the duty .

Technical / Supporting Staff

For the recruitment of personals pertaining to these fields the priority is given to candidates from banks and financial institutions and in certain cases applicants from private institutions and autonomous institutes are also selected. Who are required to have good knowledge and exposure in the industry. They consist of the following categories of people

i. Cashier’s
ii. Typists
iii. Assistants /clerks
iv. Computer operators
v. Secretaries

Portals Used for Recruitment

Advertisement requirement are provided for in the information media:

i. Ads are placed in the newspapers and on the television media.
ii. Talent hunts are organized in Career fairs.
iii. Online /web advertising

Recruitment Procedure

At Askari bank recruitment of employees is carried out following the traditional methods of employee induction, the employees are recruited only when need arises .The employees go through a rigorous screening, written and interview tests .When an employee fulfills the criteria for these stages a final simulation test or particle test stage is put forward before the employee.

Job description document

The pillar on which the structure of an organization rests is its Job description document. The Job description is a document comprising of the organizations goals , the abilities ,skills that are required to run a certain job ,it consist of complete details as to how certain jobs are to be carried out . For the employees to be successful at the job they need to understand the job itself and the numerous duties and tasks associated with it. The employee with a clear idea of the job will focus and direct all his/her energy in achieving productivity along with long and short term goals.

The Human resource division at Askari bank provides an updated job description document for each set of unique jobs within the bank catering all employees .Employees are asked to refrain from editing the Job description document any changes required are delt with by the Human resource department .All employees are therefore advised not to amend or make changes in the Job description document .In cases where changes are required in the document a request may be forwarded to the desired department, which shall send its approval on the same after due consideration.

Selection

Selecting procedure

After the extraction of relevant information about the candidates from the internal records a carefully examined detailed record of their service is made specifying the branch/location. The summarized document pertaining to the selection phase consists on the following information:

a. Personal data
b. Academic and professional qualifications
c. Experience
d. Salary to be offered /existing salary

1- Venue selection

After the completion of all the formalities as specified in the text above, the time and venue for selection is determined to the selection board/committee and the candidates in advance.

2- Appointment approving authorities

a. Board of directors (Top management)
b. Executive committee
c. Line managers and chiefs
d. Human resource officers

3- Basis of selection

A- In this phase of selection each member of the Selection committee /panel, while interviewing the candidates gives his opinion on interview feedback, candidate's circular vital .The selection of the candidate is based on the majority opinion and merit. Following are the basis on which a merit list is made for candidate selection:
    a. Educational Qualification
    b. Professional Qualification
    c. Experience in a Bank
    d. Experience in the Position applied
    e. Past achievements

B- Selected candidates are then short listed and are posted to the desired openings, with the consent of the Branch/head office as per the personal requirements .The position will be filled in by offering letters of appointment.

C- Candidates who make the rejected list may be responded with either a lower level job duties such as a banking officer or may be simply rejected position in any of the bank openings.

4- Background investigation /verification

An essential step, the background investigation regarding each potential employee is carried out all employees are verified from their previous employers on the grounds of honesty, conduct, integrity a record is maintained. And those employees who misquote about their past job duties, experience and conduct have serious disciplinary actions.

5- Personal record of employees

a. All personal details of each individual employee are maintained, which consists on completed application forms, appointment letter and all such important documents essentials for the candidate's employment.
b. The personal folder pertaining to each individual employee is maintained at the human resource division and at the respected branches of the organization, where the employee is currently deployed.

Orientation

When the candidate is selected the bank performs the orientation process for new employees. At Askari bank the orientation process holds great weightage as its provides the new inductee's with necessary contacts to enable them to do their job, to understand the organization and how to operate within it and to feel welcomed into the new role. The orientation phase is usually presided over by the top management, along with human resource professionals.

Askari bank follows certain policies and procedures to carry out the orientation phase; the aim is largely to ensure that the employees are treated consistently and fairly. Starting a new job can be challenging and exciting as well, the human resource department at Askari bank recognizes it and tries to create an atmosphere of Information free flow, which helps the new candidates settle in properly. Askari bank aim's to cater the needs of the new inductees in the three main areas:

a. Enable inductees to settle in new positions quickly and effectively.
b. Assist the inductees with goals and responsibilities.
c. Help the inductees with day-to-day activities at Askari bank.

The induction provides the fresh in take with a brief overview of the following:

a. Who the human resource team are and what they do
b. How to find hr information
c. Pay and benefit's
d. Recruitment
e. Induction
f. Performance management
g. Managing attendance
h. Employee relations
i. workshops
j. Changes to contractual terms and conditions.

Training and development

The Selected candidates go through a rigorous training program; the training of employees is carried out by the operations department. Askari bank has three main training centers:

a. Rawalpindi (Head Office)
b. Karachi
c. Lahore

At Askari bank a core training of the selected employees is carried out at the Head office in Rawalpindi, the extent of the training is a yearlong period .After the completion of the core training the employee is shifted to the desired branch, where personal requirements are felt .The employee is given on the job training of around

four weeks at the current job place in order for him/her to familiarize them with the current job requirements.

Askari bank facilitated its employees at the Employee development stage by conducting seminars and lectures and employees are even groomed through job rotation activities. . Askari banks unlike other banks help train its employees in the computer skills department and computer operational skills are an essential in today's ever developing industry .The training skills provided to the employees are in line with the banks goals and strategies. The basic purpose of employee training is basically to enhance the area of expertise for all the employees so the employees can compete with other organizations on equal grounds.

Allowance and other concessions

The list of Allowances and other concessions are given blow

i. Pay
ii. House Rent Allowance / Ceiling
iii. Special Duty Allowance
iv. Education Allowance
v. Entertainment Allowance
vi. Reimbursement of Residential Telephone Expenses
vii. Utilities
viii. Medical reimbursements
ix. Entitlement of Cars for the Executives
x. Conveyance Allowance in lieu of 2nd Car for Senior Executives

Pay

a. Basic Salary: This is the cash structure offered to the employee in return for his skills, abilities and knowledge and is selected by a competent authority.
b. Fixation of pay on promotion: Upon promotion of the individual to a higher position /grade the salary of the individual will be accordingly increased.
c. Increments: Increments will be decided by a Competent Authority, the human resource department. Increment will be provided to the individual's on the basis of his/her performance.

House Rent Allowance / Ceiling

An employee may be allowed to receive a house rent allowance or ceiling from the bank. Below are some present rates offered to the employee?

a. Executives 42.5% of Basic Salary
b. Officers 44% of Basic Salary
c. Clerical 37% of Basic Salary
d. Non-Clerical 38% of Basic Salary

Special Duty Allowance
Allowance offered to the employees by the Askari bank as a fixed amount of money which is given periodically in addition to the salary for the purpose of meeting some specific requirements connected with the service.

Education Allowance
For the children of the employees an allowance is put forward in order to motivate and encourage the employee.

Entertainment Allowance
This sort of allowance is offered normally to the executives, which may include clubs/hotel memberships and other leisure related facilities.

Reimbursement of Residential Telephone Expenses
The bank may provide the executives with a residential telephone and may even bare the expenses.

Utilities
The bank may pay the utility bills associate with the executives, whether they are electricity bills, water bills or fuel expenses.

Medical reimbursements
All employees with genuine medical conditions are provided with medical aid, the present entitlement is 8.5 % of the basic salary.

Entitlement of Cars for the Executives
The executives and middle management employees may be provide with the following cars ranging from

- AVP 800-1000 CC
- VP 1200 CC
- SVP 1300 CC
- EVP 1500 CC
- SEVP 2500 CC

Conveyance Allowance in lieu of 2nd Car for Senior Executives
All executives in grades SVP and above will be allowed an option of either availing second car or conveyance allowance in lieu of second car.

Monthly conveyance allowance in lieu of second car will be as follows

The executives may be offered:

Allowance	Grade

SEVP/EVP	Rs.28, 500/- per month
SVPs	Rs.21, 500/- per month

TA/DA Rules

When asker bank intend to Move their employees within or outside the country to some job sites for official purpose to expand their skills and knowledge then they give some compensation to them to meet their basic needs and expenses such as transportation coaster some increments in their pays that encourages their employees to Happily Expand their skills. These Travels are based on the following rules

These rules can be amended from time to time and these rules are called ASKARI Bank Ltd. Staff TA & Da rules

General Regulations

a) These outside travels approved by competent authorities without these authorities the employee can't send to other sites for job purposes.
b) The employees must stay for a Limited period of time that have been decided for them if they want to stay more it must approved by competent authorities..
c) Family accompanying employees that with official duty cannot paid by bank until or unless Employee has a transfer
d) Only those expenses would paid to them that can be used for job purpose other than that such as personal entertainment, are not included in the bill

Traveling Abroad

Askari bank send employees to abroad to fulfill the business needs that cannot be cover by locally It can be financial needs or managerial needs. Askari bank has find it necessary to send some of their employees to overseas to enhance their Skills they provide some compensation to employees to build their interest to travels globally On job purpose.

There are various Policies that the bank adopted on employee travels depends on the nature of the travel.

Enforcement

The bank provide employees all the necessary expenses while travelling on abroad The bank assumes no obligation to reimburse associates for expenses that are not in compliance with this policy.

Travel Authorization Procedure
This foreign travel procedure is authorized by competent authorities such as H.O.D the travels procedure are based on budget estimated before travel. Employee is required to submit Tour Plan to the HOD /send Email requests which will be evaluated only on a case-to-case basis

Period of Tour
The policy for travelling abroad shall apply to any foreign travel not exceed 30 days. If an employee want to stay more or travel more to other foreign cities they will get special entitlement under the foreign travelling policies that will be approved by H.O.D.

Accommodation While On Tour
Askari bank provide their employees an opportunity of accommodation while send an employee abroad. These accommodations charged based on following criteria

- President/SEVP Five Star Hotel
- EVP/SVP PC or Equivalent
- VP/AVP 3 Star Hotel
- Officers 3 Star Hotel
- Clerical/Non Clerical lRs.150/- per night stay

Policies Regarding employee family
When an employee sends to abroad Askari bank gives employee an opportunity to take their family with him if they stay is for longer period

Askari Bank Performance Management System

Area
Askari Bank has divided Performance management system in to three Areas

- Planning
- Monitoring
- Evaluation

Askari Bank performance management objectives are

1- Filling management positions with qualified and competent personnel.
2- Seeking out and identifying prospective management talent in the employment career as far as possible.
3- Providing opportunity and encouragement for present and prospective management personnel to develop themselves in all skills and to acquire broad business understanding and judgment in order to realize full management potential.

4- Assuring that quality and quantity of management reserves are adequate for anticipated requirements.
5- Rewarding the high achievers and leading performance deliverers.

The Performance Policy is developed to measure the performance of employees and to reward them according to their outcomes and also learn from feedback given by employees. This will keep the employees motivated to get the banks Goals and Objectives.

The Performance Management Process
The performance management process consists of three key Areas.

1. Performance Planning
2. Performance Monitoring
3. Performance Evaluation

Performance Planning
Setting out specific goals for the year in order to achieve Predefined accountabilities or performance targets, and listing the behavioral capabilities needed for the given job role. During this stage, the manager must communicate the performance standards and weightings for the role using key accountabilities and behaviors to the job holder. This should also result in a discussion with the jobholder jointly agreeing upon on actions to meet specific role expectations.

Employee performance in a role can then be summarized in to two distinct components; namely objective outcomes and behavioral expectations. The formal presentation of the above expectations and the yearly targets are presented in the job description document of a jobholder and should provide guidance to the Employee. Therefore, it is in the best interest of the Employee to understand as thoroughly as possible his or her job description document and goal setting form for the year ahead

Performance Monitoring
Performance Monitoring involves measuring performance of the job holder on his or her job accountabilities and behavioral expectations throughout the year. This process involves identifying performance gaps and taking remedial action through regular feedback and coaching provided on a relatively informal basis. If needed, interim reviews can be conducted (after a 6 month period) using a shortened Performance management system form.

Performance Evaluation
Performance Evaluation is the process of measuring the objective outcomes and behavioral expectations as mutually agreed upon by both the Employee and the

Employer at the beginning of the job evaluation cycle and recorded in the job description document. A formalized Performance Evaluation Template is designed to objectively evaluate a jobholders Performance. The Performance Evaluation Template makes it possible to assign a rating on each key feature of an Employee's job by evaluating performance against both expected goals and behaviors. This template is structured in such a way as to evaluate as objectively as possible the performance of Employees viz. objective performance targets and behavioral expectations. The following sections illustrate the workings of the performance management system aligned in a corresponding manner with the performance evaluation template.

Performance Evaluation template involves evaluation employees on the features which are listed as under.

- Personal Information
- Employment History During Period Under Review
- Performance Targets
- Behavioral Expectations
- Performance Rating for the Year
- Performance Improvement Agreement
- Pen Picture

Reward system

Best Employee of the year
Every year on the basis of performance best employee of the year is selected in all the branches, regional offices, and head office. The selected employee is given shield and presented as the model for the rest of the employees.

Good Performance Shield
Each year when an employee shows good performance in his field of performance his efforts are recognized by issues him shield. This shield is for all of those who show good performance.

Cash Rewards
In cases where an employee shows outstanding performance in difficult situations he is rewarded with cash prizes. The amount of cash prizes is not fixed.

Other Benefits

- Benevolent fund
- Marriage grant
- Burial grant
- Medical allowance (amount spent on treatment)
- House rent allowance

Disciplinary Actions

Place of service
Employee may be directed time to time at any office branch, subsidiary of the bank to serve there.

Observance of Rules
Requirement of employees be stick to the rules of the bank and follow the all lawful orders and directions.

Maintenance of Secrecy
An Employee shall meet the level of honesty shall serve the bank by maintaining strict secrecy of bank and its constituents.

Participation in Political Activities
Involvement of an employee in any Political Party will not be entertained by the bank.

Absence from Duty
During the work time an Employee cannot leave the bank and the he cannot even overstay without the permission of competent Authority.

Acceptance of Gift
Acceptance of gifts from other employees or constituents of the bank will not acceptable.

Acceptance of Part time
An employee during his employment in the bank cannot go for any other part time job and business neither He can Publish article in the newspaper or Journals in the Magazine without the permission of competent Authority.

Borrowing
An employee cannot borrow money from his associates, constituents of the bank or from persons likely to have dealings with the bank.

Borrowing from Bank
An Employee and his family shall not raise any loans from the bank without proper disclosure to the authority concerned.

Punishment
Breach of Rules, Deliberate actions against rules, Breach of Discipline or any other misconduct will cause the employee to face the Penalties.